

CATEGORY	MEANING	SUITABLE FOR THOSE WITH
Government Bonds	The Government issues bonds of various tenures. Also, different government companies issue bonds. These bonds are backed by the government and therefore are very safe. However, they give relatively lower returns.	Time Horizon: Less than 2 years
Duration	Duration of bond is how much its price changes when the interest rate in the economy changes. In simple words, it measures the risk for bonds.	- Ultra-short: 3-6 months - Short : 1-3 years - Medium: 3-10 years - Long: 10+ years - Diversified fund
Corporate Bond Funds	Invests in corporates and companies. These have a higher risk and return	- Risk-taking ability: 2.5+ - Returns: Higher
Credit Risk Funds	Such funds take higher credit risk and expect to earn higher returns. They invest in lower-priced bonds for higher returns.	- Risk-taking ability: 4+ - Best if avoided